

4 - PESTLE analysis

Flipped learning - Please watch this short video before the start of the lesson



Do Now

SWOT analysis - Amazon 2020

		HELPFUL	PROBLEMS	
INTERNAL	S 	STRENGTHS 1. Brand - the third most popular global brand. 2. Financial performance – continued growth. 3. Synergies – its services compliment each other. 4. Customer Experience – fast and reliable service 5. Cost Leadership –commands superior buying power. 6. Range and Merchants – huge range of products available. 7. Technology –unique IP and R&D including AI. 8. Superior logistics and distribution systems - efficient global logistics and distribution system	W 	WEAKNESSES 1. Low Margins – although it has good cash flows, the margin on products remains slim. 2. Asia/China – Amazon has yet to prove itself in Asia. 3. Failures/Experiments – Amazon has yet to develop a leading brand of hardware products. 4. Employee Treatment – bad press and coverage about employee treatment is damaging the brand. 5. Physical stores – lack of financial growth shows that despite its innovative approach profits are missing. 6. Sustainability – Amazon has a poor track record of moving to sustainable solutions and remains opaque about its progress.
	O 	OPPORTUNITIES 1. Developing markets – growth opportunities. Exist in developing markets e.g. India. 2. Expansion of physical stores – acquisition of further retailers to establish broader presence. 3. Hardware partnerships – partner with leading hardware for AI/voice recognition. 4. Amazon branded products – expand range which in turn will provide higher margin opportunities. 5. New markets – e.g. healthcare a \$1 trillion dollar industry.	T 	THREATS 1. Competition – Large global players are aggressively attacking Amazon e.g. Walmart. 2. Asia/China – several Asian copetitors could expand operations in the US and Europe. 3. Merchants and Platforms – 58% of sales come from merchants. Amazon makes less margin on merchant sales. 4. Government regulations – several governments are investigating Amazons practices and policies with regard to fair play and anti-competitive practices.
EXTERNAL				

Using the SWOT Analysis

Suggest TWO strategies that Amazon might implement to improve their business performance



Learning Outcome

By the end of the lesson you will be able to carry out a PESTLE analysis and explain its impact on business decision-making.

To Know



- Describe what PESTLE analysis is and what each factor stands for.
- Explain how external factors can influence business operations and strategy.
- Identify real-world examples of political, economic, social, technological, legal, and environmental impacts.
- Apply PESTLE analysis to a business case or scenario.
- Discuss how businesses respond to external environmental changes using PESTLE insights.

PESTLE Analysis

The opportunities and threats indicated in a SWOT analysis come from the **external environment – i.e. outside the organization.**

We can use the **PESTLE** framework (see above) as a method of breaking down the external environment.

PESTLE Analysis

P	E	S	T	L	E
POLITICAL	ECONOMICAL	SOCIAL	TECHNOLOGICAL	LEGAL	ENVIRONMENTAL
Example: • Current tax policy • Brexit • Trade policies • Political stability • Government policy	Example: • Inflation rate • Exchange rates • Economic growth • Interest rates • Disposable income • Unemployment rate	Example: • Lifestyle attitudes • Cultural barriers • Population growth • Population age • Health consciousness • Target demographics	Example: • Level of innovation • Automation • Technological awareness • Cybersecurity • Technological change • Internet availability/speed	Example: • Employment laws • Discrimination laws • Health and safety • Copyright protection • Consumer safety	Example: • Weather • Climate change • Environmental policies • NGO pressure • Recycling • Pollution • Sustainability



I Do, We Do, You Do

Dyson alleges American rival copied its hair styler in £10m claim

The British business, founded by Sir James Dyson, has accused its American rival *SharkNinja* of infringing its patents with its £250 Shark FlexStyle hairdryer and styler.

Dyson has launched a UK High Court case against <i>SharkNinja</i> , accusing it of copying its hair styler, the Airwrap, in a claim valued at more than £10m.	5
In legal papers filed with the UK High Court, <i>Dyson</i> is seeking a judicial order to block sales of all air stylers and their attachments within the Shark FlexStyle range in the UK. It is demanding the destruction of all Shark FlexStyle inventory.	
<i>Dyson</i> , which has moved its corporate headquarters to Singapore, told the UK court: "The estimated value of the claim exceeds £10 million."	10
The rivals are also battling in the US, Germany and France. <i>Dyson</i> told the US courts its development was "not easy, and it took many attempts to perfect the curling barrels featured on the <i>Dyson Airwrap</i> " as well as "years of research and development, engineering, design and substantial monetary and capital investment".	
The two businesses have a history of legal disputes. In 2014, <i>Dyson</i> sued <i>SharkNinja</i> in a \$200m (£163m) lawsuit over claims it had breached its patents for hand-held vacuum cleaners. Four years later, the claim was voluntarily dismissed and a judge said the two designs were clearly different.	15
In a separate case, <i>Dyson</i> won \$16m in damages against <i>SharkNinja</i> from a Chicago court over false advertising claims after the US business claimed its vacuums were superior to those of the British business.	20
The Shark brand was launched in 2007 and since then its parent company has grown to make sales of £3bn in 2022. <i>Dyson</i> , founded in 1991, reported sales of £6.5bn in 2022.	

Task - in note form

Using PESTLE analysis - are legal factors the most important influence on the success of Dyson?



You Do



Affirmative Checking

Practice Question

Jan 20

Extract A

Selected figures from *Burberry's Statement of Comprehensive Income*,
31 March 2018

	£m
Revenue	2 732.8
Cost of sales	835.4
Gross profit	1 897.4
Net operating expenses	1 487.1
Operating profit	410.3

Extract B

All change at Burberry Group plc

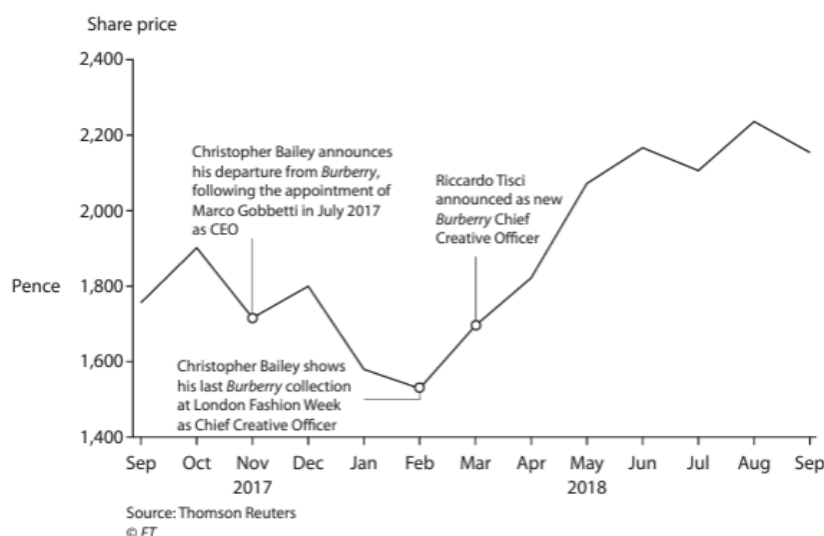
Burberry is a 162-year-old British luxury fashion house with its headquarters in London and has a market capitalisation of £8.3bn. It sells trench coats, outerwear, fashion accessories, fragrances, sunglasses and cosmetics.

Growth slowed after Christopher Bailey became its Chief Executive Officer (CEO) in 2014. Profits dropped and the shareholders lost confidence in him. In July 2017 Marco Gobbetti replaced Bailey as CEO. Christopher Bailey then became the Chief Creative Officer until his resignation in November 2017. This was followed in March 2018 by the appointment of a new Chief Creative Officer, Riccardo Tisci.

As expected, Tisci has shaken things up at one of Britain's best-loved brands. He has already changed the brand's iconic logo. The red, black and beige pattern that has been the brand's most recognisable trademark for over 20 years has now been altered into a more contemporary stripe. The rebranding indicated a major change for the British luxury brand.

Extract C

Can Riccardo Tisci reinvent Burberry?



Extract D

Burberry's digital presence

As one of the first businesses to use technology, we have an outstanding digital reach with over 51 million followers globally, across 13 platforms and 11 languages. Our Burberry app, now available in 33 countries, is our customers' gateway to the world of Burberry. Customers can explore and buy from the new collections while managing all their orders in one place.

In China, over 80% of online shopping is done on a smartphone or tablet. Burberry customers can now book in-store or online appointments with a salesperson via WeChat, China's number one multipurpose social media mobile application.

- (d) Assess the extent to which the external technological environment will help with Burberry's growth in China. (Extract D)

(12)

Make sure your answer has application throughout

Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One reason why it will help Burberry's growth in China is.... This is because... This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, another external influence that is important is... This is because... This will lead to... Therefore... As a result, ...
Conclusion:	Overall, the impact of the external technological environment on Burberry's growth in China is...

This is because...

However, success will depend upon...

It is recommended that...